

**JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
(JOFOC)
FAR SUBPART 6.3**

I recommend the use of other than full and open competition for the acquisition of the following supplies or services. If this acquisition is to be made with only one source or a limited number of sources, negotiations will be conducted with the indicated proposed supplier(s).

1. IDENTIFICATION OF THE AGENCY AND CONTRACTING ACTIVITY:

The requiring activity is the Internal Revenue Service (IRS), Criminal Investigation (CI), Cyber & Forensic Services Section (C&FS), and the Office of Fraud Enforcement (OFE).

The contracting activity is the IRS Office of Procurement.

2. NATURE/DESCRIPTION OF THE ACTION BEING APPROVED:

The purpose of this justification is to obtain approval to renew contract 205AE9-23-C-00010 by awarding a Firm Fixed Price (FFP) contract to Chainalysis, Inc. for the purchase of the brand name items described in **Section 3** below. Contract 205AE9-23-C-00010 will expire on 03/29/2026. The need date for these items is 03/30/2026.

This is a base plus two (2) option years with a POP estimated as follows:

Base year: 03/30/2026 – 03/29/2027

Option Year 1: 03/30/2027 – 03/29/2028

Option Year 2: 03/30/2028 – 03/29/2029

FAR 52.217-8, Option to Extend Services, will be include in the awarded contract.

3. DESCRIPTION OF SUPPLIES OR SERVICES:

The proposed acquisition is to acquire the following Chainalysis products:

Note: Includes corresponding support services for the deployment of Chainalysis licenses/tools are covered under CLINs X001.

Manufacturer	CLIN	Description	Qty
Base Year Estimated POP: 03/30/2026-03/29/2027			
Chainalysis, Inc.	0001	Chainalysis Web Subscription [REDACTED]	[REDACTED]
	0002	Chainalysis DATA [REDACTED]	
	0003	Chainalysis IRS Learning Academy	
	0004	[REDACTED] Passes to Chainalysis LINKS Global Conferences + Paid Conferences/Events included with purchase.	
Option Year 1 Estimated POP: 03/30/2027-03/29/2028			
Chainalysis, Inc.	1001	Chainalysis Web Subscription [REDACTED]	[REDACTED]
	1002	Chainalysis DATA [REDACTED]	
	1003	Chainalysis IRS Learning Academy	
	1004	[REDACTED] Passes to Chainalysis LINKS Global Conferences + Paid Conferences/Events included with purchase.	
Option Year 2 Estimated POP: 03/30/2028-03/29/2029			
Chainalysis, Inc.	2001	Chainalysis Web Subscription [REDACTED]	[REDACTED]
	2002	Chainalysis DATA [REDACTED]	
	2003	Chainalysis IRS Learning Academy	
	2004	[REDACTED] Passes to Chainalysis LINKS Global Conferences + Paid Conferences/Events included with purchase.	

4. SHOPPING CART NUMBER:

5000217691 & 5000227452

5. NAME OF PROPOSED SOURCE(S):

Chainalysis Government Solutions, LLC
114 Fifth Avenue, Floor 18
New York, New York 10011-5668

6. COST ESTIMATE:

Base Period	\$10,922,338.75
Option Period 1	\$11,468,455.70
Option Period 2	\$12,041,878.48
Option Period 3	
Option Period 4	
Award Term (if applicable)	
Estimated Total	\$34,432,672.93

Account Executive – Federal Civilian

7. CERTIFICATION OF TECHNICAL OR REQUIREMENTS PERSONNEL

PROGRAM OFFICE (Requiring Activity) (Name & Title)	(Signature)	(Phone No.)	(Date)
Carlos Orozco Cyber Crimes Program Manager			01/21/2026

8. PROCUREMENT OFFICE CERTIFICATION			
This requirement ☐ will / ☒ will not provide for a bridge contract.			
I certify that this submission is accurate and complete to the best of my knowledge and belief. This certification will serve as approval, unless action exceeds \$900K.			
CONTRACTING OFFICER (Name)	(Signature)	(Phone No.)	(Date)
José R. Muñoz Jr.			01/21/2026
Before requesting this procurement, state one statutory authority for this procurement to be conducted under "other than full and open competition" procedures. Provide narrative justification associated with the respective state authority in block number 10.			

9. THE COMPETITION IN CONTRACTING ACT OF 1984 (P.L. 98-369)	
(place "X" in appropriate box)	
X	41 U.S.C. § 3304(a)(1), FAR 6.302-1– Only one responsible source; or brand name specification
	41 U.S.C. § 3304(a)(2), FAR 6.302-2 – Unusual and compelling urgency
	41 U.S.C. § 3304(a)(3), FAR 6.302-3 – Industrial mobilization, engineering, developmental, or research capability; or expert services
	41 U.S.C. § 3304(a)(4), FAR 6.302-4 – International agreement
	41 U.S.C. § 3304(a)(5), FAR 6.302-5 – Authorized or required by statute
	41 U.S.C. § 3304(a)(6), FAR 6.302-6 – National Security
	41 U.S.C. § 3304(a)(7), FAR 6.302-7 – Public Interest

10. JUSTIFICATION

(add pages if needed)

A. DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF THE AUTHORITY CITED.

C&FS has performed market research on numerous web-based solutions, including Chainalysis, [REDACTED]. Based on this market research, the government has determined that Chainalysis, Inc.'s blockchain analytics suite of tools provides unique capabilities. Research was conducted on an ongoing basis to understand similarities and differences between providers and their proprietary tools and resources to include but not limited to discussions with vendors and users, attend public and confidential demonstrations, participate in question and answer engagements with vendors, research and review public and confidential vendor documentation, and engage in discussions with other law enforcement agency personnel who either conduct market research or use various tools offered by vendors.

C&FS requires a comprehensive suite of tools, capabilities, and resources to investigate financial crime in digital assets that includes the following unique capabilities:

1. Integration with [REDACTED] tool
2. Ability to support and edit Reactor graphs in their native [REDACTED] format
3. Support to identify [REDACTED]
4. Ability to associate [REDACTED]

The program office requires a comprehensive suite of tools, capabilities, and resources to investigate financial crime in digital assets that includes those unique capabilities.

Comparing blockchain analytic vendors and resources is not a straightforward comparison. While there are many nuances to these vendors and their respective tools C&FS has taken considerable steps over the past 24 months (starting January 2024) to understand similarities and differences between providers and their proprietary tools and resources to include but not limited to discussions with vendors and users, attend public and confidential demonstrations, participate in question and answer engagements with vendors, research and review public and confidential vendor documentation, and engage in discussions with other law enforcement agency personnel who either conduct market research or use various tools offered by vendors.

At the most basic level, blockchain analytic and intelligence providers (BAIPs) offer graph visualizers to easily trace transaction flows on various public blockchain networks (Bitcoin, Ethereum, etc.), attribute or label addresses to entities, and quantify counterparty and transaction risk. BAIPs ingest raw public blockchain data (input/output addresses, transaction hashes, time stamps, etc.) and then through unique efforts, methods, and relationships attribute, label, and cluster addresses and quantify risk. No single provider can have attribution or determine category or risk for every address on every blockchain. To ensure adequate coverage C&FS has historically purchased blockchain analytic and intelligence tools from a number of providers. Having access to more than a single tool is critical to ensure comprehensive and overlapping coverage across various blockchains and addresses.

Currently operating

Two vendors evaluated are no longer operating in the form in which they were evaluated over the past 24 months. It was learned that as of February 2025, [REDACTED]

[REDACTED] Additionally, earlier in 2025, [REDACTED]

Integration

[REDACTED] During an investigation, IRS-CI personnel will [REDACTED] for example. In addition to [REDACTED] Manually [REDACTED] can be challenging and even once identified [REDACTED]

IRS-CI [REDACTED] tools every day. [REDACTED] personnel support investigators in the field [REDACTED]

[REDACTED] Chainalysis is the only known blockchain analytics and intelligence provider to integrate [REDACTED] Blockchains are permissionless and global and facilitate transactions that are fast and irreversible. In other words, [REDACTED]

[REDACTED] This integration [REDACTED]

[REDACTED] allows law enforcement to [REDACTED]

Support for [REDACTED] format

Chainalysis Reactor uses [REDACTED] format to visualize and trace blockchain data and address/wallet attribution and category data. Reactor allows investigators to visualize blockchain transactions, know who's behind the transaction, and follow value as it moves on-chain. Personnel across the government use Chainalysis Reactor in their workflow (e.g. FBI and other federal law enforcement). IRS-CI personnel across the country regularly work investigations jointly with other federal law enforcement agencies who use Chainalysis Reactor. During these investigations with other agencies, IRS-CI personnel collaborate on building out graphs in the [REDACTED] format. Chainalysis is the only blockchain analytics and intelligence provider that supports the [REDACTED] format. Without the ability to view, create, or edit graphs in their native format CI would not be able to efficiently and effectively support or conduct criminal investigations with other law enforcement partners who use Chainalysis products or data in their investigations. Not having access would cause a significant drop in productivity in addition to causing delays involving time sensitive law enforcement activities including enforcement operations and court-related activities. [REDACTED] investigations would

need to be either closed or start from scratch in a different tracing product, creating numerous delays to investigations and due process.

Support to identify [REDACTED]

[REDACTED]

[REDACTED] Without the ability to identify IRS CI would lose access to a source of vital evidence necessary for identifying [REDACTED]

[REDACTED] Not having access to this data undermines IRS CI's ability to effectively identify and prosecute financial crimes and transnational threat actors.

[REDACTED] allows investigators to associate [REDACTED]

[REDACTED] other providers didn't even exist as companies in [REDACTED]

[REDACTED]

The corresponding support services to help ensure agency users extract the most value from using Chainalysis tools and data. Chainalysis support assists with [REDACTED]

[REDACTED]

Corresponding support by Chainalysis Gov have a unique understanding of Chainalysis license, Chainalysis data and how it's structured, thus creating efficiencies and ensuring accuracy in the support and enablement workflow. Support from a non-Chainalysis Gov provider would not have the same level of understanding or even access to these tools or data. CI would, at CI's expense, need to provision access to Chainalysis Licenses and Data to non-Chainalysis support. CI would incur additional expense but still wouldn't realize the full level of efficiency and accuracy in its investigative workflow as performed by Chainalysis Gov. Chainalysis Gov support have access to internal [REDACTED]

[REDACTED] Non-Chainalysis labor would never have access to [REDACTED]
[REDACTED] CI currently utilizes non-Chainalysis labor in other workflows and often these non-Chainalysis support rely on Chainalysis for assistance learning and understanding Chainalysis products and data. Not receiving Chainalysis Gov corresponding support services would significantly diminish agency user's ability to extract the most value from their investment into Chainalysis tools and data. This would lead to increased agency user learning curves, decreased productivity in key investigative priority areas, a significant reduction in investigative bandwidth, and increased wait times for agency users to receive support on time sensitive matters such as enforcement actions or court related activities.

Chainalysis is the only blockchain analytics and intelligence provider that meets all the unique capabilities required:

Previous contracts for Chainalysis, Inc. Cryptocurrency tools are as follows:

- FY18 contract 2032H5-18-P-00363 which expired on 09/27/2019
- FY18 contract 2091JB-18-C-00030 which expires on 08/31/2021
- FY20 contract 205AE9-20-P-00138 which expired on 07/03/2021
- FY20 contract 2032H8-20-C-00041 which expired on 09/29/2021
- FY21 contract 205AE9-21-P-00206 which expired on 09/29/2021
- FY21 contract 205AE9-21-C-00008 which will expire on 09/29/2023

B. DESCRIBE THE EFFORTS TAKEN TO ENSURE OFFERS WERE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE, INCLUDING WHETHER A NOTICE

WAS OR WILL BE PUBLISHED AS REQUIRED BY FAR SUBPART 5.2 AND, IF NOT, WHICH EXCEPTION UNDER FAR 5.202 APPLIES.

In accordance with FAR 5.202(a)(13)(ii), the proposed contract action will be made through a means that provides access to the notice of proposed contract action through the GPE. Though there are a few authorized resellers of some of Chainalysis Inc.'s tools, there are no authorized resellers of the required full suite of tools, expertise, advanced techniques, training, contractor support and conferences passes all of which are critical in the advancement of IRS' mission, specifically for its cryptocurrency investigative needs.

IRS-CI's success relies on their ability to continuously protect proprietary, government-sponsored tools and techniques developed for criminal investigations, including current and active grand jury, international, national security, and sensitive tax investigations. The proprietary analytical tools offered by Chainalysis Inc are utilized in high-profile investigations, frequently featured in the news, and shared with foreign allies amidst current global conflicts.

C. DETERMINATION THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.

The Contracting Officer will determine that the price is fair and reasonable based on previous award analysis, applicable price analysis techniques, and established commercial catalog prices.

Previous award analysis was performed using IRS-CI Contract #s as listed below. A copy of the previous contracts are part of the market research package.

- FY18 contract 2032H5-18-P-00363 which expired on 09/27/2019
- FY18 contract 2091JB-18-C-00030 which expires on 08/31/2021
- FY20 contract 205AE9-20-P-00138 which expired on 07/03/2021
- FY20 contract 2032H8-20-C-00041 which expired on 09/29/2021
- FY21 contract 205AE9-21-P-00206 which expired on 09/29/2021
- FY21 contract 205AE9-21-C-00008 which will expire on 09/29/2023
- FY23 contract 205AE9-23-C-00010 which will expire on 09/29/2025

The Government will ensure that the final negotiated price is fair and reasonable in accordance with FAR 12.201-2 and 15.404-1(b)(5), (6) and (7), The Government will compare proposed prices set forth by Chainalysis Inc with the Independent Government Cost Estimate, comparison of proposed prices with prices obtained through market research for the same or similar items, and analysis of data other than certified cost or pricing data provided by the offeror.

D. DESCRIBE THE MARKET RESEARCH THAT WAS CONDUCTED AND THE RESULTS OF THAT SURVEY. IF ACTIONS WERE TAKEN BY PROCUREMENT PERSONNEL TO SATISFY THIS REQUIREMENT (SUCH AS A GPE SOURCES SOUGHT SYNOPSIS), PLEASE SPECIFY.

In April 2025, CI MPA [REDACTED] conducted research with the below results.

Acq. Gateway-Prices Paid Portal – A search of key words “blockchain intelligence tool” yielded no results. A word search for Crypto yielded no results.

NASA SEWP – A search of key words “blockchain intelligence tool” yielded no results. The resellers will not be able to meet this requirement since Chainalysis is the sole provider who can provide 100% capabilities and access by meeting the need of this requirement due to their uniqueness and proprietary of their product.

GSA eLibrary- Yielded no results for blockchain intelligence tool.

GSA Advantage- Yielded no results for blockchain intelligence tool.

Additional Market Research:

In April 2025, CCU COR [REDACTED] conducted market research via the following techniques were used to conduct the market research:

1. FAR 8.002 and 8.003 – no sources were found to meet this requirement.
2. Reviewed GSA to verify if other blockchain intelligence tool licenses were available.

Based on the review, no other tools were available.

3. Reviewed the OPE portal for Treasury’s Mandatory Sources, which reflected one contract listed with a scope of work for “all base and precious metals”. This requirement is out of scope of the contract listed on the OPE portal. Therefore, this mandatory source will not be utilized for this requirement.

4. Reviewed the Treasury-wide Ordering Vehicles list, which reflected 17 contracts listed none which offer the required product

5. Reviewed the Acquisition Gateway including the OMB-mandated solutions

6. Reviewed the Dynamic Small Business Search (DSBS)

Market research identified [REDACTED] potential blockchain analytics and intelligence providers, including Chainalysis [REDACTED]. Chainalysis was the only blockchain analytics and intelligence provider that met all the unique capabilities required. See Section 10.a for additional details.

Overall, no other sources or resellers of Chainalysis web-based suite of tools were identified. Although authorized resellers of Chainalysis were identified by market research, only Chainalysis, Inc. is capable of providing the propriety tools, training, support, and [REDACTED] necessary to fully utilize the suite of tool’s advanced capabilities. Additional information is provided in Section 10.e.

The IRS CI continues to review emerging cryptocurrency tools and contractor support options that align to IRS CI requirements as they become available in the market. As each contractor is unique in their proprietary software and each collects different types of data for cryptocurrency tracking. To ensure adequate coverage C&FS has historically purchased blockchain analytic and intelligence tools from a number of providers. Having access to more than a single tool is critical to ensure comprehensive and overlapping coverage across various blockchains and addresses.

E. DESCRIBE ANY OTHER FACTS TO SUPPORT THE JOFOC.

Chainalysis' resellers will not be able to meet this requirement as they are not authorized by Chainalysis to resell the products/unique capabilities needed of this requirement. This is only provided by Chainalysis. This means Chainalysis alone has a unique ability to provide updates and other maintenance, and support directly tailored to address for the needs of this requirement. In addition, only direct contracts with Chainalysis can enable for faster resolution of issues and meet the needs by providing Chainalysis professional and advisory services and training, as the exclusive capabilities and access. Chainalysis is the sole provider to meet these capabilities.

These tools, advanced techniques, training, and contractor support are critical in the advancement of IRS CI & Treasury's mission, specifically for its cryptocurrency investigative needs. Without them, some of the largest cyber and cryptocurrency crime cases, including those with national security implications, would be put at significant risk.

To avoid jeopardizing critical law enforcement investigations, it is imperative to maintain continuity with Chainalysis.

F. LIST SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.

Chainalysis Government Solutions, LLC

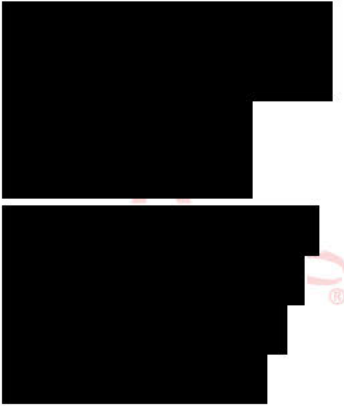
G. LIST THE ACTIONS THE BUREAU WILL TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO PROMOTE THE COMPETITION ON ANY SUBSEQUENT ACQUISITIONS FOR SIMILAR SUPPLIES OR SERVICES.

The Contracting Activity will continue to search the marketplace for potential sources by holding industry days; publishing acquisition forecasts, etc. For future requirements, the Requiring Activity will continue to conduct market research of the current environment, as well as investigate marketplace products and services, to ensure that competition remains available. Every opportunity will be taken to ensure that fair opportunity is achieved.

H. STATEMENT THAT REQUIREMENT DOES NOT RESULT FROM A LACK OF PLANNING OR THE EXPIRATION OF FUNDS.

This acquisition does not result from lack of planning. Market research was conducted by IRS-CI Cyber Crimes Section (CCS) and a survey of the available products in this space. The results of the market research supported the government's decision to obtain these services under a sole source basis.

11. ADDITIONAL APPROVALS

OVER \$20 MILLION ≤ \$90 MILLION	A. BUREAU CHIEF INFORMATION OFFICER (for IT only) <i>(Name & Title)</i> Kaschit Pandya Chief Information Officer, IRS (Note: The Bureau CIO may delegate their authority for proposed contracts over \$5 million but not exceeding \$20 million to the Associate Bureau CIO(s).)	☒ APPROVE ☐ DISAPPROVE	<i>(Signature)</i> 	<i>(Phone No.)</i> <i>(Date)</i>
	OVER \$900,000	B. BUREAU COMPETITION ADVOCATE <i>(Name)</i> Julius S. Bradshaw	☒ APPROVE ☐ DISAPPROVE	<i>(Signature)</i> 
OVER \$20 MILLION	C. HEAD OF THE PROCURING ACTIVITY OR AUTHORIZED DESIGNEE (Director of Procurement Operations) Margaret M. Flanagan	☒ APPROVE ☐ DISAPPROVE	<i>(Signature)</i> 	<i>(Phone No.)</i>  <i>(Date)</i> 3/24/26
OVER \$90 MILLION	D. TREASURY CHIEF INFORMATION OFFICER (for IT only) <i>(Name & Title)</i>	☐ APPROVE ☐ DISAPPROVE	<i>(Signature)</i>	<i>(Phone No.)</i> <i>(Date)</i>

OVER \$90 MILLION	E. SENIOR PROCUREMENT EXECUTIVE <i>(Name)</i>	☐ APPROVE ☐ DISAPPROVE	<i>(Signature)</i>	<i>(Phone No.)</i>
				<i>(Date)</i>
NOTE: Each review must be preceded by lower level approval(s). For example, actions over \$90 million require all approvals. IN NO CASE WILL AN INDIVIDUAL SIGN MORE THAN ONE APPROVAL LEVEL.				